

Blind Spots at the Top: How Bounded Rationality and Dominant Logic Blunted Microsoft's Sensing Capability

Dynamic capabilities refer to a firm's and its managers' ability to integrate, develop and reconfigure internal and external competencies in response to shifting business environments. As Hodgkinson and Healey (2011) summarise it, "Teece (2007) posited three generic, behaviourally based dynamic capabilities as the foundations of evolutionary and economic fitness of the enterprise, namely: (1) sensing (and shaping) opportunities and threats; (2) seizing opportunities; and (3) reconfiguring assets and structures to maintain competitiveness." These capabilities are crucial for companies because they depend on the discovery and development of opportunities (Teece, 2007).

This article contends that Microsoft's *sensing* capability was hindered by the bounded rationality of its leaders and by the dominant logic that had settled within the organisation.

Identifying the behavioural factors

In 2014, Microsoft appointed a new CEO in response to a decline in performance. As many industry giants do, Microsoft had the resources to access industry-specific information on the latest innovations, yet it failed to recognise the opportunities and threats that information contained. The performance decline can be explained by two behavioural factors operating inside the Top Management Team (TMT): bounded rationality and dominant logic.

Bounded rationality and cognitive inertia

"Another failure was the 2010 'Courier' tablet... This could have enabled Microsoft to make inroads into mobile computing, but senior leaders deemed it unnecessary" (Duke, 2022, p. 2).

The insufficient cognitive capabilities — the bounded rationality — of the TMT produced cognitive inertia at Microsoft, and that inertia prevented the team from updating its mental models. Upper Echelons theory suggests that a firm's strategic decisions and its success can be predicted by analysing its top management team, and the cognitive inertia of Microsoft's TMT blocked the sensing capability of the firm.

Effective sensing depends on cognitive and emotional processes, particularly in how we respond to new information and in our ability to adjust our mental models (Hodgkinson & Healey, 2011).

The cognitive boundary created by the TMT's bounded rationality prevented exactly this adjustment, because the models themselves were not flexible. The taxonomic mental model in place was built on the idea that Windows was the core product and that everything else had to be compatible with it. This inflexibility can be traced, in part, to Steve Ballmer becoming what the literature calls "stale in the saddle".

‘Stale in the saddle’

A TMT’s reaction to strategic changes in its environment is shaped by cognitive interpretations rooted in members’ previous experiences and values (Bromiley & Rau, 2016). Ballmer was CEO of Microsoft from 2000 until 2014, when he was replaced by Satya Nadella. As Teece (2007) notes, “opportunity creation and/or discovery by individuals require the ability to recognize, sense, and shape developments.” Ballmer’s extended tenure restricted the TMT’s flexibility and its dynamic capabilities, preventing that kind of opportunity creation.

The pattern is a general one: TMTs with longer tenures are less likely to promote organisational adaptation (Raffaelli, Glynn, & Tushman, 2019). Environmental dynamism plays a crucial role in shaping which executive characteristics matter most, since varying conditions demand distinct strategies. “When environmental dynamism increases, windows of opportunity for the identification and exploitation of entrepreneurial opportunities are fleeting” (Shepherd, McMullen, & Jennings, 2007). In more dynamic environments, longer CEO tenure leads to less inventiveness.

Dominant logic

Dominant logic refers to the concept that shared mental models, values and assumptions within organisations serve as a filter, determining which environmental information is considered relevant or irrelevant (Bettis & Prahalad, 1995). The TMT’s mindset regarding the key characteristics of the business determines its *frame flexibility*.

Microsoft had core values and a core business model, and this dominant logic blocked the firm’s sensing capability. Mobile computing was seen as a threat precisely because Windows was not at its centre:

“Windows was the god — everything had to work with Windows. Ideas about mobile computing, with a user experience that was cleaner than with a PC, were deemed unimportant by a few powerful people in that division, and they managed to kill the effort.” (Duke, 2022)

Dominant logic at Microsoft prevented the progression of innovations that fell outside the mental model. It prioritised Windows as the focal point of the business offering, making the TMT reluctant to consider alternative approaches. Consequently, this narrow focus negatively impacted Microsoft’s sensing capabilities and reinforced cognitive inertia.

Recommendations

Two major behavioural factors caused the performance decline at Microsoft: bounded rationality and dominant logic. Microsoft’s environment was dynamic, and the cognitive demands of information processing are very high in dynamic environments. It is therefore recommended that Microsoft implement a strategy built around a larger and demographically diverse TMT. In

addition, to reduce the framing effect, the firm can be structurally differentiated so that autonomous business units deal with these “threats” and treat them as opportunities.

A more diverse, larger TMT

It is recommended that Microsoft adopts a new TMT that is more diverse and larger. The dynamic environment around Microsoft makes sensing opportunities much more of a cognitive ability. As Smolinski, Sieweke and Zapkau (2020) find, “TMTs with diverse skills, expertise and knowledge produce more radical innovations, introduce more innovations, and generally produce innovations of higher quality.”

Structural differentiation and framing effects

“Dominant logic makes clear that before strategic learning of the kind discussed above can occur, the old logic must in a sense be unlearned by the organization” (Bettis & Prahalad, 1995). The framing effect created by dominant logic is used by the TMT to filter out opportunities relating to the business.

Netflix offers a useful contrast. Its TMT framed online streaming more flexibly, as an extension of its current “entertainment subscription services”; it was therefore able to see this innovation as compatible with its existing capabilities in DVD rentals. The TMT broadened its framing, cognitively aligning the innovation with the organisation’s business model (O’Reilly & Tushman, 2016).

It is recommended that Microsoft follow a similar strategy, using structural differentiation to deal with threats. This would give the firm the framing flexibility to reframe threats as opportunities within new business units, whilst the main business continues to see the issues as threats. Frame flexibility allows the creation of new business opportunities for the firm.

Conclusion

Microsoft’s performance decline in the 2000s and early 2010s was driven by two key behavioural factors: bounded rationality and dominant logic within its Top Management Team. These issues hindered the firm’s dynamic capabilities, particularly its ability to sense and adapt to emerging opportunities. To address these challenges, this analysis recommends implementing a more diverse and larger TMT to enhance cognitive flexibility and innovation potential. Additionally, adopting structural differentiation can help the company overcome the framing effect by establishing autonomous business units to explore new opportunities. By embracing these strategies, Microsoft can improve its flexibility and competitiveness in a dynamic business environment.

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